Assignment – 01
Group Assignment

Introduction to HRM
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Faculty of Science

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Human Resource Functions - Sampath Bank PLC

Assignment Group 2

People Dynamics Team

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1. Introduction

The Sampath Bank PLC is a major private commercial bank in Sri Lanka that has expanded after nearly four decades into a systemically significant financial institution in retail, SME, and corporate businesses. Incorporated in 1986 as a public limited liability company and holding a license under the Banking Act, Sampath Bank is listed on the Colombo Stock Exchange and enjoys long-reaching branches in most areas. The Bank has been subjected to transforming how Sri Lankans bank by marrying traditional branches with advanced technology platforms and card offerings.

Right from its inception, Sampath Bank has been adopting innovation as its approach in enhancing customer satisfaction with speed, ease of access, and convenience. Consequently, it was one of the pioneers with new technology implementations and a robust credit card business along with other valuable electronic facilities like payment gateways and bill payment facilities.

Today, the Sampath Bank is operating as a diversified financial service provider for the retail, SME, and corporate business communities, spanning an island-wide branch and multi-channel digital platform, Sampath Vishwa Internet and Mobile Banking facility. The company lists its robust asset quality, increasing customer base, and ability to perform in an adverse economic backdrop, as well as commitment to the facilitation of financial inclusion and banking regulations, as core strengths.

2. HR functions of the company

2.1. What the HR function is

The Human Resource (HR) function refers to all the activities carried out by an organization to manage its employees effectively. The main purpose of the HR function is to ensure that the organization has the right people, with the right skills, in the right jobs, and that they are treated fairly and motivated to perform well.

The HR function is responsible for recruiting and selecting employees, training and developing them, managing performance, pay and rewards, and maintaining good relationships between employees and management. It also ensures that the organization follows labour laws and workplace regulations.

Key activities of the HR function include:

- Recruitment and selection
- Training and development
- Performance management
- Employee welfare and motivation
- Compensation and benefits
- Employee relations and discipline

In this assignment, an HR function currently practiced by **Sampath Bank PLC** is identified and discussed in order to explain how it contributes to the progress and overall success of the organization

2.2. Recruitment and Selection

The aspiration of Sampath Bank PLC is "to be the leader in transforming lives by unlocking financial potential with innovation, integrity, and empathy while nurturing financial well-being," and the Bank lays major stress on its aim of creating an efficient and future-ready workforce for the support of the transformation agenda of the Bank. The Bank, in its disclosures on its Human Capital, explains the significance of building and leveraging talent for digitalization, innovation, and sustainable value generation in the dynamic banking sector.

The recruitment and people management processes are monitored via the presence of HR governance frameworks such as the Board Human Resources and Remuneration Committee that makes sure that people management activities at the Bank are aligned to the strategic objectives and are regulatory compliant. Even though a detailed description of the processes involved has not been provided in the Annual Report, it has been reported that the main aim of Sampath Bank's people management activities is to build a competent and performance-driven workforce.

These have also been a core reason for Sampath Bank's continued strengthening of Human Capital through the induction of new talent and reskilling and upskilling of existing staff, all in line with the Bank's focus on digital transformation and service excellence. The Bank maintains an unmatched, islandwide presence and brand strength that is further bolstered by continuous transformation initiatives-each factor enhancing its ability to appeal to a wide pool of potential candidates-while internal development and performance management mechanisms support career growth and capability building within the organisation.

The Bank emphasizes responsible and ethical conduct, good governance, and well-being of the stakeholder that imply commitment to people practices at all touchpoints of the employee lifecycle, which are fair and transparent. In this regard, the HR policies and frameworks should be designed to offer equal opportunities based on merit, foster diversity and inclusion, and comply with all labour regulations and internal codes of conduct, though the report does not provide a step-by-step listing of the detailed selection criteria.

With the growing digitisation of financial services, as well as the Bank's emphasis on embracing technology and innovation, there therefore remains a need to develop, enhance, or modernise HR practices so that Sampath Bank can remain responsive to changes driven by customers as well as emerging market dynamics. Enhancements or improvements to HR practices, therefore, are essential involving the way Sampath Bank identifies, develops, or retains human capital.

2.3. Benefits to the company

Recruitment and selection at Sampath Bank ensure a skilled, performance-driven workforce that aligns people's capabilities with strategic priorities like digital transformation, supporting sustainable value creation and long-term organisational resilience.

Strong pool of applicants

As a prominent private-sector bank in Sri Lanka and a recognized brand in the country with an island-wide branch network, the bank receives a considerable number of applications for the posts it makes open, particularly in the specialized and frontline areas.The fact that it is a renowned bank in the country and has a transformation agenda makes it more capable of attracting appropriate applicants in specialized areas.

Accurate qualification screenings

The Bank's HR Governance Framework, monitored by the Board Human Resources and Remuneration Committee, strives to ensure that personnel selection & recruitment practices conform to regulatory requirements and standards of competency and ethics. By virtue of role definitions, performance management practices, and continuous training programs, Sampath Bank makes the necessary efforts to embed the required competencies in the personnel for successful functioning in a regulated and technology-driven banking sector.

Proactive strategic alignment

Human Capital is noted in the Annual Report as a 'key resource for implementation of the strategy, especially in the areas of Digital Transformation, Customer Centricity, and Risk Management'. The recruitment, development, and effective utilization of people are thus managed in order to facilitate capability building, succession, and people alignment for the emerging business needs.

Reduced turnover and high morale

It is important to note that "Human Capital" is one of the areas that the report emphasizes as being important in managing the Bank. In addition to that, it is crucial to state that Sampath Bank recognizes that "Investment in Employee Training and Development" and "Employee Engagement and Recognition" in Human Capital enable them to retain their employees' commitment and motivation. Hence, this will enable them to prevent unwanted staff turnover and ensure service consistency.

2.4. Harmful to company

If the recruitment and selection process at Sampath Bank were not done properly, this would be detrimental to the Bank because it would not contribute to the Bank's strategy for establishing the right talent base for digitalization and customer centricity. If the Bank were not able to hire the right people with the needed skills and shared values, this could result in the Bank experiencing increased people-related expenses and challenges in the execution of strategic initiatives in a competitive business environment.

Turnover and capability risks

The most recent annual report points out the importance of investing in Human Capital and maintaining essential skill sets, particularly in this current challenged economic environment and technological evolution the Bank faces. The wrong hiring choices could result in the increased turnover or poor performance of staff members and drive the need for continuous recruitment and training.

Impact on performance and value

The performance at Sampath Bank includes its human resources, connecting these directly to the areas of service, innovation, and risk management. The implications of recruitment and selection, or not fitting people for the job, can affect the efficiency and customer service, as well as the execution of the strategic plan, compromising the valued future described in the Annual Report.

Employee engagement and culture

The Human Capital section underscores the Bank's efforts to develop, recognise and engage employees to sustain motivation and alignment with corporate values. Repeated poor hiring decisions would strain teams, increase workloads, and negatively affect engagement, making it harder to maintain the positive culture and commitment that Sampath Bank seeks to foster.

Stakeholder confidence

Sampath Bank emphasises sound governance, prudence and responsible conduct in its corporate governance disclosures. Consistently ineffective recruitment and selection would erode internal and external confidence in management's ability to manage Human Capital effectively, potentially affecting stakeholder trust in the Bank's long-term stewardship of resources

2.5. Recommendation and Suggestion for the company to improve

Recruitment and selection at Sampath Bank PLC need to be done in a planned and strategic manner beneficial to the Bank's goals and objectives. Such an action requires planning the use of financial and management resources before the recruitment of staff, which will help the management achieve efficiency in their financial and management resources.

Role descriptions and competency profiles must be periodically reviewed and updated based on the latest trends in digital banking, government regulations, and the changing trends in customer demands. Feedback on performance and managerial insights can add value to these competency profiles and increase the validity of recruitment and person-job fit for the employees.

Regarding recruitment practices, another area in which the Bank can improve its emphasis on merit is by increasing transparency in the process and ensuring that the pool of applicants is as wide as possible. Training and development programs can be used based on the Human Capital Strategy of the Bank for candidates with great potential but lacking in particular skills.

While choosing the shortlist of applicants, it would be advisable to assess these qualities of academic and professional credentials, along with certain behavioral attributes like flexibility, customer focus, and integrity, which are extremely important in the banking industry, where there is a mix of regulatory concerns and a customer service perspective.

By continuously improving the process of planning, role definition, outreach, and assessment, Sampath Bank can strengthen the quality of recruitment and better integrate their human capital resources with organizational goals and the achievement of sustainable value.

3. Conclusion

Sampath Bank PLC is one of Sri Lanka's leading publicly listed financial institutions. In their most up-to-date publication of their Integrated Annual Report, Human Capital is identified as one of the main drivers of their success. Although this part of the assignment could and should be re-defined in terms of analyzing and suggesting improvements in their recruitment and selection procedures at Sampath Bank.

Sampath Bank PLC is one of the most prominent publicly listed banks operating in Sri Lanka, and its Integrated Annual Report makes it clear that the Human Capital of the organization plays an integral part in implementing the strategy of the organization with respect to Digital Transformation and Customer Growth. This analysis will discuss the Human Resource department of the Bank with respect to recruitment and selection and will provide recommendations to make such activities more effective.

The Bank conducts its business in a formalized HR governance framework and adheres strictly to established policies and procedures for recruitment, particularly in respect of professional and managerial roles. The recruitment process will typically involve considerations based on both qualifications and experience and competencies and behaviors essential for success in a regulated and technology-intensive bank environment.

The importance of recruitment and selection, consisting of acquiring the right skills, improving performance, and managing risks associated with people, are identified by the report, and simultaneously the negative outcomes when recruitment and selection are not performed well are also described. Later, recommendations are provided to improve Sampath Bank's recruitment and selection to make way for increased contributions to the development of Human Capital and creation of sustainable values.

References

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